

Financial Accounting PS1

Show equations, substitutions, intermediate reasoning, and a final labeled answer.

1. [8 pts] Record: receive \$466 cash for a service already performed; purchase \$465 of supplies on account. Give both journal entries and the immediate effect on the accounting equation.

2. [7 pts] A \$1044 prepaid service contract covers 12 months. After one month, give the adjusting entry and remaining liability.

3. [5 pts] At period end, assets are \$1848 and liabilities are \$771. Compute equity and explain the balance-sheet relationship.

4. [6 pts] Current assets are \$1765 and current liabilities are \$1101. Compute the current ratio and interpret values above 1.

5. [5 pts] A customer pays before delivery. Explain when revenue is recognized and name the liability recorded before performance.

6. [8 pts] Record: receive \$662 cash for a service already performed; purchase \$431 of supplies on account. Give both journal entries and the immediate effect on the accounting equation.
